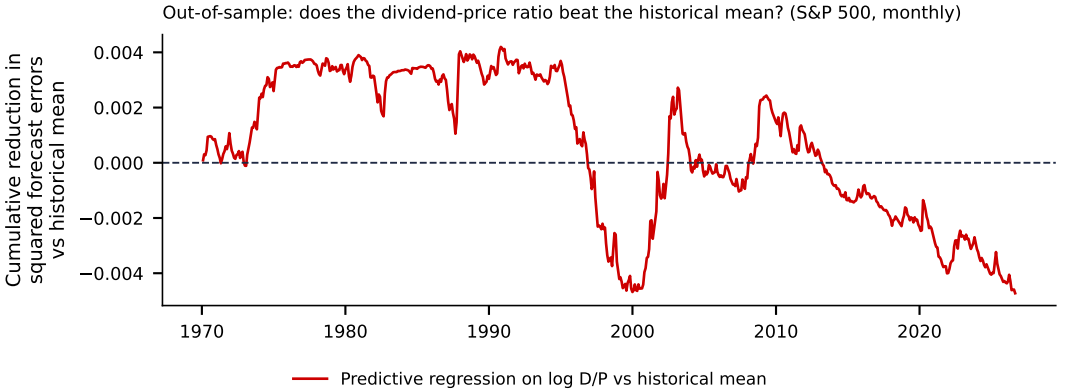
Out-of-sample: does the dividend-price ratio beat the historical mean? (S&P 500, monthly)
Cumulative reduction in squared forecast errors vs historical mean
0.004
0.002
0.000
−0.002
−0.004
1970
1980
1990
2000
2010
2020
Predictive regression on log D/P vs historical mean